Capital Wars

# The Ticking Clock

A Primer On When To Invest In Different Industry Groups

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Apr 19, 2026

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## Asset Rotation and Stock Market Sectors

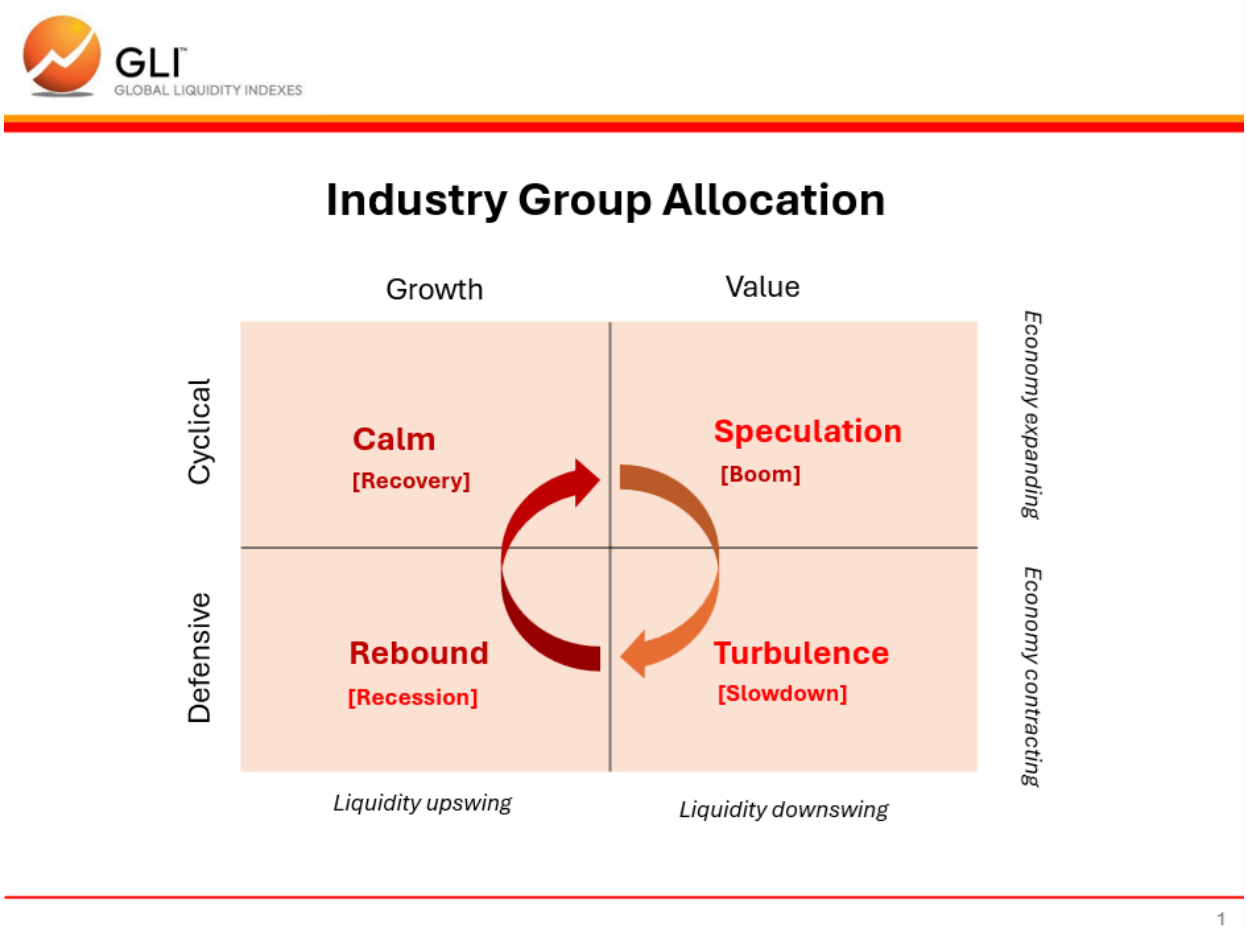
The last 'Primer' discussed bond markets. [https://capitalwars.substack.com/p/how-to-evaluate-coming-fixed-income?r=1nnkxi] This one explains how industry groups perform across the Global Liquidity cycle. Recall: equities rise when Global Liquidity expands; cash is king during contractions. Commodities peak late-cycle; long-term bonds shine at the trough.

Asset rotation from cyclicals to defensive sectors follows the **level of liquidity**. Cyclicals (materials, consumer discretionary, small-caps) outperform when above-average liquidity fuels economic growth. Defensives (healthcare,

consumer staples, utilities) lead when the economy slackens alongside sub-par liquidity.

The shift between growth and value, however, depends on the **direction of liquidity** (i.e. first difference), not its level. Expanding liquidity favours growth stocks (tech, healthcare). Contracting liquidity favours value stocks (materials, energy).

**These factor sensitivities are summarised in the phase diagram below.** We shall argue that latest data signal a Speculation investment regime: recent strength in cyclical value (energy, materials) and a flattening yield curve also point to a late-cycle Speculation phase. Turbulence (Risk-Off) is not here yet, but the clock is ticking — monitor data closely.




## Deeper Dive: Analysis

Below we show our well-known asset allocation diagram, which relates the Global Liquidity cycle to the investment cycle.

This schematic framework shows how **asset allocation moves sequentially** as the cycle ages**: equities perform best**

**during the liquidity upswing**, and **cash is preferred during the downswing**; **commodities are favoured around the cycle peak** and **long duration government bonds often outperform around the cycle trough**.

We have annotated on the chart both how the yield curve moves (see last 'Primer') and which broad industry groups typically perform best in each phase.

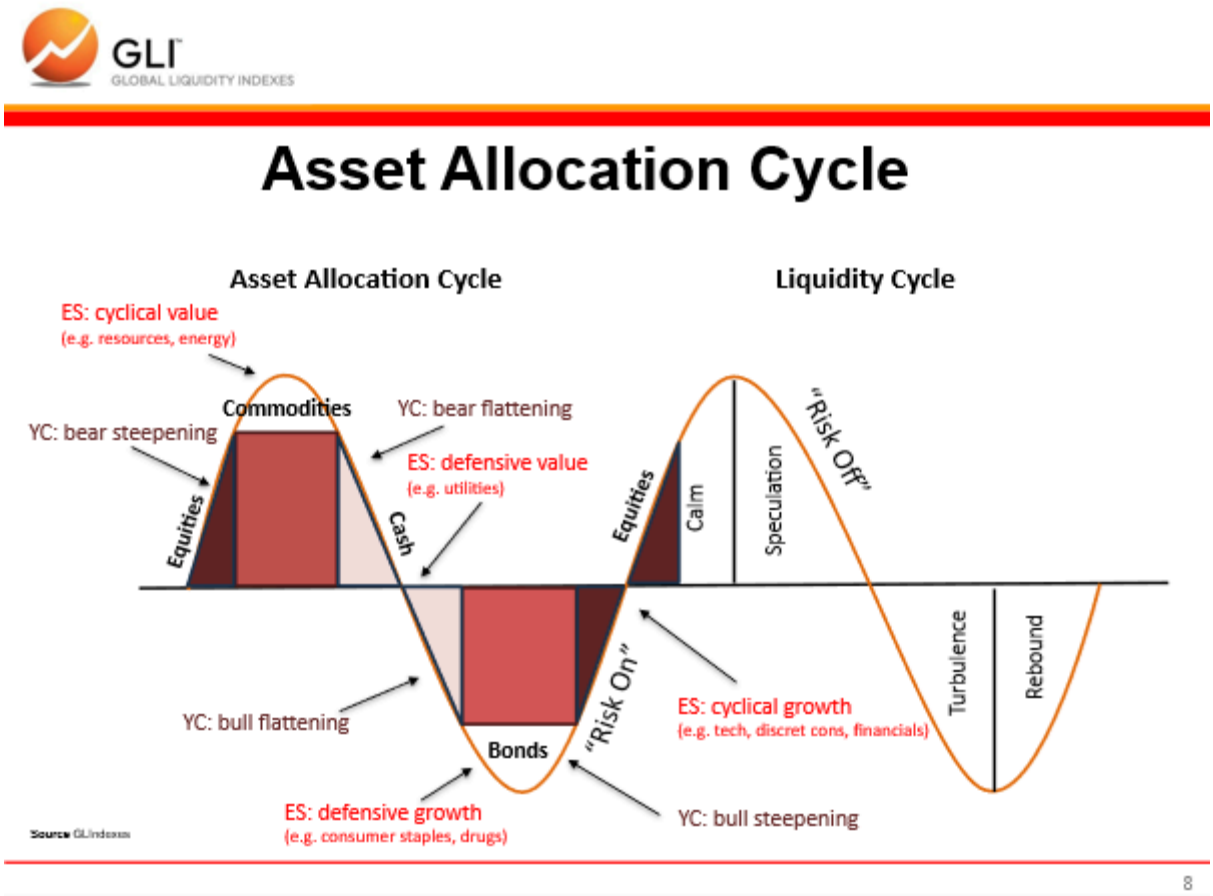
TL; DR

- **Cycle-Driven Rotation:** Industry group performance follows the Global Liquidity cycle. Equities excel during liquidity upswings, cash during downswings, commodities near cycle peaks, and long-duration bonds near troughs.
- **Cyclicals vs. Defensives:** Cyclical groups (e.g., materials, consumer discretionary) outperform during economic upswings (above average level of liquidity), while defensives (e.g., healthcare, staples) lead during economic downswings.
- **Growth vs. Value:** Growth stocks (long-duration, e.g., tech) tend to outperform when liquidity itself expands (direction up), whereas value stocks (short-duration) fare better under falling liquidity (direction down).
- **Current Investment Regime (*Speculation*):** Recent strength in cyclical value (materials, energy) and a flattening yield curve suggest markets are in a *'Speculation'* phase, which precedes a potential *'Turbulence'* (Risk-Off) regime.

We use the following classification:

- ***Growth:*** health care, consumer staples and tech
- ***Value:*** materials, discretionary consumer and utilities
- ***Cyclicals:*** materials, discretionary consumer and small/ mid-cap
- ***Defensives:*** health care, consumer staples, financials and utilities

We have chosen the least contentious groupings. Tech is a 'growth' sector, but it is not obviously 'defensive' and, if anything, arguably 'cyclical'. Financials tend to move with the yield curve and, hence, more with the Global Liquidity cycle than the business cycle. Similarly, with resources/ energy, which outperform around the liquidity cycle peak.

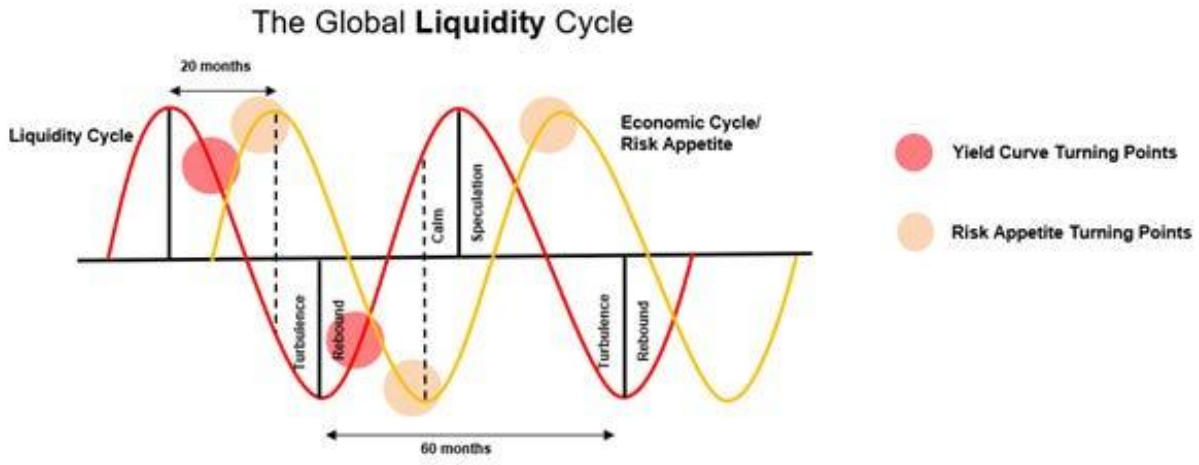



We have added the economic cycle alongside the investment cycle in the following chart. This tries to show that Global Liquidity leads the business cycle by around one entire regime, or by roughly 15 months.

Investors' risk appetite is shown by the pale orange circles and yield curve inflections by the pale red circles.

The yield curve tends to peak and start to flatten around the mid-point of the *'Speculation'* regime, when the economy is strong. Correspondingly, it begins to steepen again during the early months of *'Rebound'*, when the economy is in recession.

Risk appetite of investors is strongly influenced by the business cycle. This can give an extra kick to liquidity, when the two coincide. Risk appetite typically peaks in *late-Speculation*, often heralding the coming *Turbulence* regime. Similarly, it troughs in *late-Rebound*, as the economy emerges from recession, and when liquidity enters the *Calm* phase.

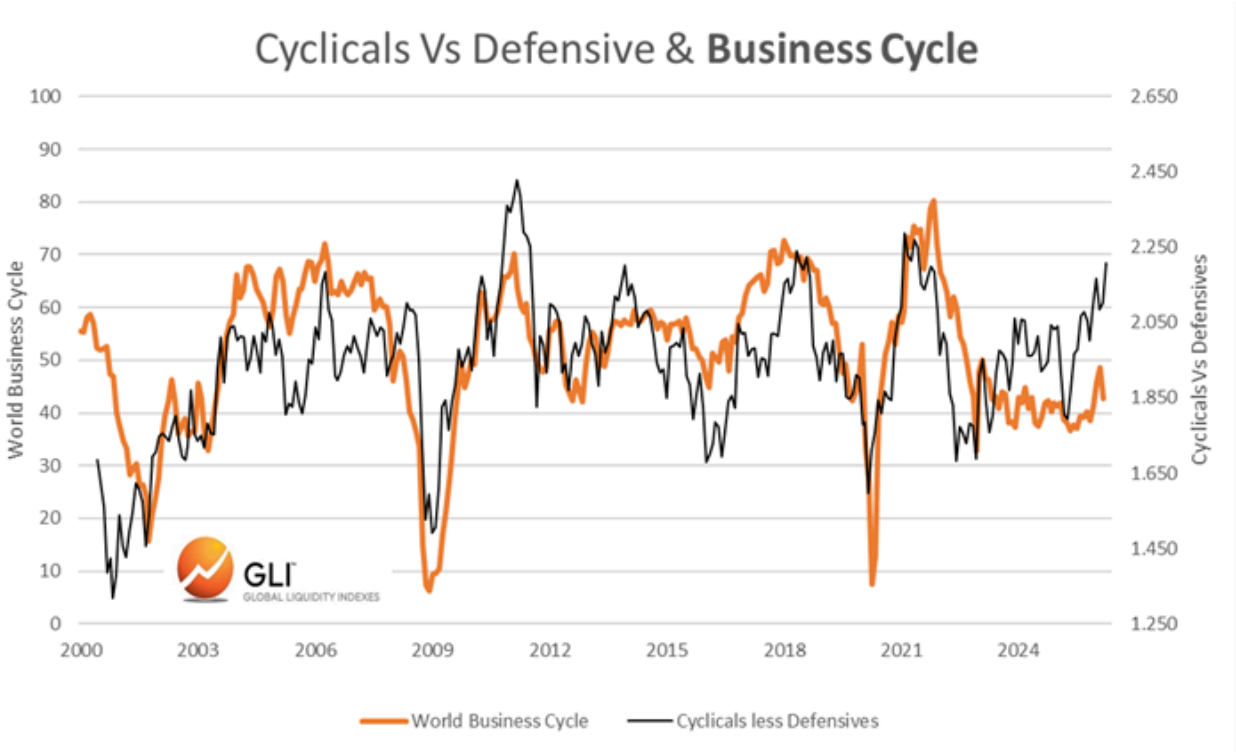



## Cyclical Industry Groups Versus Defensives

**Cyclical industry groups tend to do well when the level of Global Liquidity cycle is above average: defensive groups perform best when Global Liquidity is below average.** Recall Liquidity is a leading indicator. It follows that the strongest relative performance of cyclicals versus defensive groups will likely coincide with or slightly lead the business cycle.

Economic booms typically occur in the third phase of the Global Liquidity cycle (*Speculation*) when liquidity is above average and falling. Similarly, economic recessions often occur when Global Liquidity is below average but just starting to expand (*Rebound*).

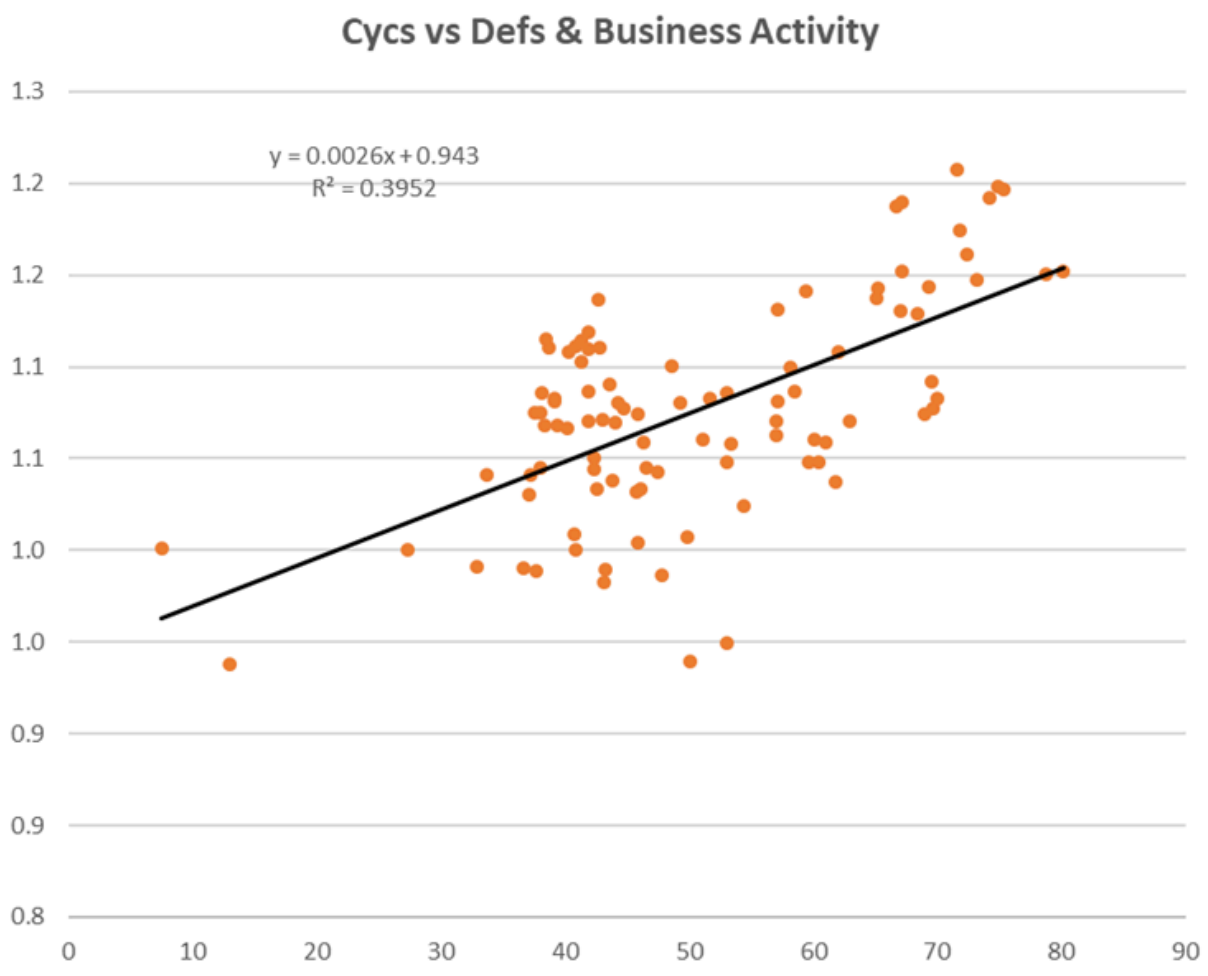
We should see evidence of cyclicals outperforming defensive just prior to upward inflections in the business cycle, and vice versa as the business cycle turns lower. The data in the next chart confirm this. The industry group price relative data is plotted against a weighted average of major business surveys, such as the US ISM, Japan's EWI, Canada's Ivey, France's INSEAD and Britain's CBI surveys.



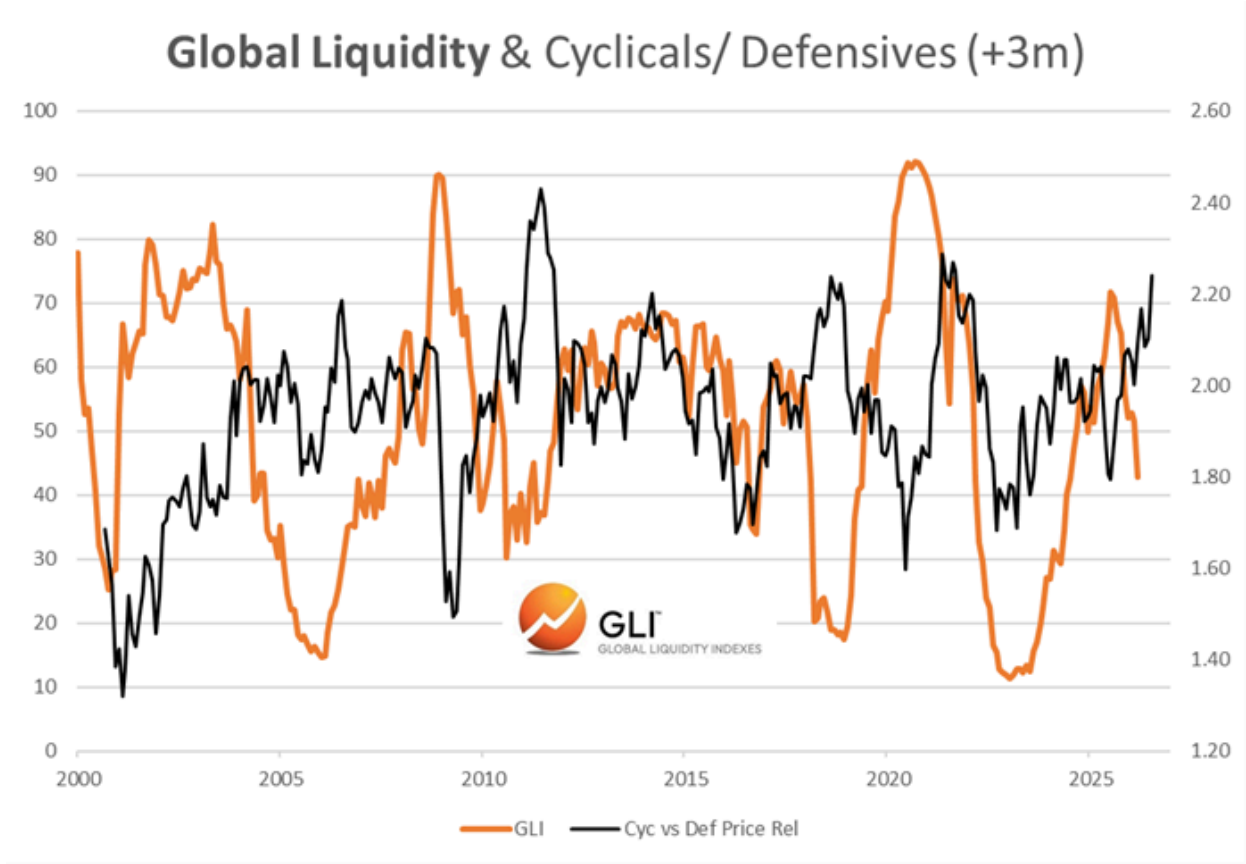

Without getting too bogged-down in latest economic developments, note how much stronger the equity relative data is compared to latest business surveys. The World's media have made so much of recent 'bad' news that could this have soured the mood of surveyed firms? A cross-check using 'hard' data from forex markets, commodity prices and credit spreads fed into an AI-model, gives a more upbeat view that matches the price relative data. See the next chart.

The chart seems to confirm the relative industry group data's projection of strong economic performance. The impact of the Iran tensions can be seen. However, it represents a short sharp shock taking circa ½-¾% from World economic growth and looks far smaller, thus far, than the impact of last year's US tariff tantrum.

The correlation between the cyclicals/ defensive price relative and the World business cycle (measured in survey form) is plotted in the scatter diagram below. The trade-off is strongly statistically significant.



It is also true that both sets of data are not only highly cyclical, but they interact and feedback on each other, so reinforcing their own cycles. Evidence the chart below which plots the Global Liquidity cycle against the future cyclical/ defensive ratio (advanced by three months). This gives a better idea of the countercyclical moves: **when Global Liquidity is peaking, expect late-cycle strength in cyclicals**.



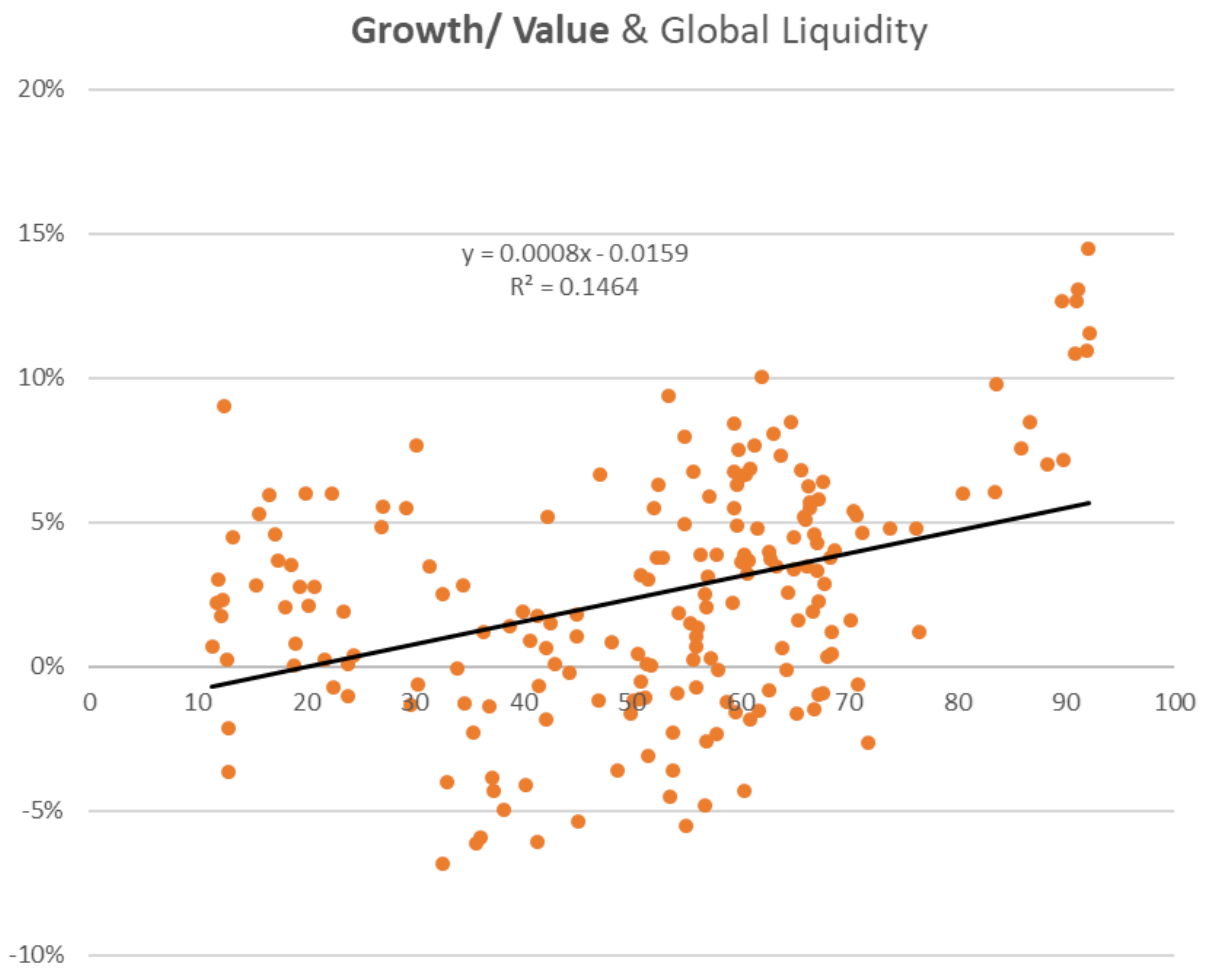
This paradox is explained by the observation that *'...all money that is anywhere must be somewhere'*. In other words, if liquidity is feeding a growing real economy it cannot also be driving financial asset prices higher. Hence, if the cyclical/ defensive price ratio is high and signalling a strong economy, then a drain of liquidity is likely underway from financial uses to real economy uses. Thus, strong economies often have weak financial markets: **money cannot be in two places at once**.

Growth Versus Value

Next consider the **growth/ value split**. Many institutional investment mandates are often arranged using this division, with funds typically split between so-called 'value managers' and 'growth managers'.

The scatter diagram shows the trade-off between the growth/ value price relative (trend-adjusted) and Global Liquidity. As

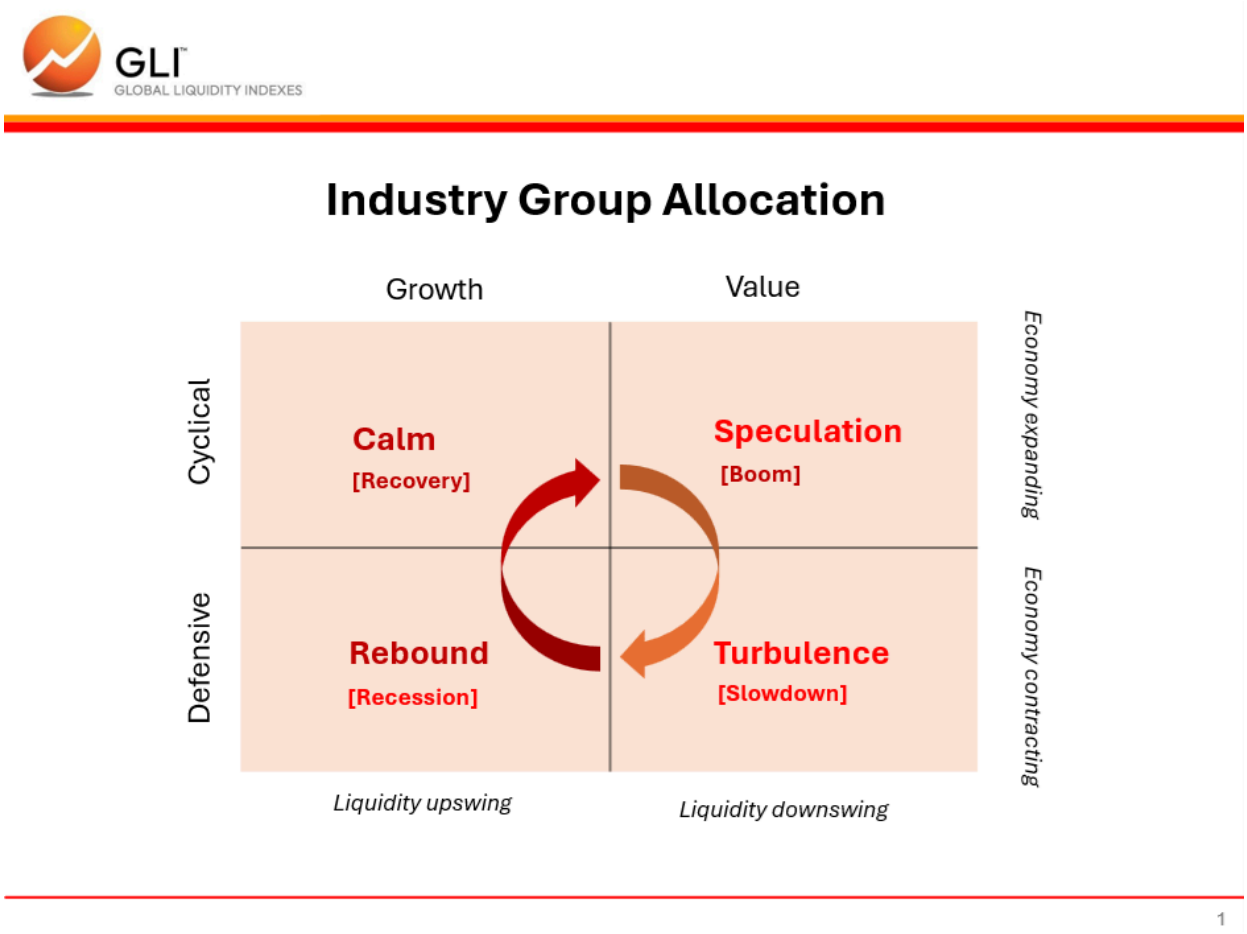
liquidity expands so growth outperforms value. This seems plausible insofar that more liquidity should encourage investors to take on more duration risk. Growth stocks are typically long duration investments, whereas value stocks are short duration.



# Asset Allocation Matrix For Industry Groups

We can summarise these various factor sensitivities in the phase diagram depicted earlier. It shows the growth/ value split running from left to right and the cyclical/ defensive split running from top to bottom.

We know that economic recession coincides with the Rebound phase of the Global Liquidity cycle and economic strength is associated with the Speculation regime. Consequently, each quadrant links directly to a phase of the Global Liquidity cycle: cyclical growth (e.g. tech) is associated with the *Calm* regime; cyclical value (e.g. materials) with *Speculation*; defensive value (e.g. utilities) with *Turbulence*, and defensive growth (e.g. health care, consumer staples) with *Rebound*.




Identifying the factor sensitivities of industry group sectors is part art, part science, because corporate strategies change, the economic structure changes and the dividend yields of different securities change. Therefore, this analysis is necessarily broad-brush, but it may help to conceptualise a systematic asset allocation.

## Implications For Investors

Latest performance data shows value beginning to outperform, alongside several months of strong performance from cyclicals. This identifies cyclical value, such as materials and resources (including energy), as an investment theme and suggests that markets are currently in a *Speculation* investment regime.

This seems consistent with other evidence. Consider, the on-going bearish yield curve flattening we identified in the 'Bond Primer'. This is a common feature of *Speculation*. And, the 'robust' economy in the face of some severe shocks may similarly tell us that we are late-cycle.

**The implicit warning here is that the investment cycle is sequential.** In other words, think of this as a **ticking clock**: asset allocation needs to adapt and not stand still. *Speculation* follows *Calm* – a period of strong equity gains – but it

precedes *Turbulence* – a period where bonds begin to gain traction. *Turbulence* is a time when Global Liquidity moves sub-par. It is a regime that is 'Risk-Off'. It is not here yet. But, could it be coming?

This is why it is important to monitor data and try to understand the investment cycle. Many want to believe 'its different this time', us included! But the liquidity cycle may come to dampen and dominate these hopes.